REPORT NO. 90152

# G.I.E. HYDRO ELECTRIC PROJECT (CARGO)

# PAUTE ECUADOR

**CLIENT**

**THE SALVAGE ASSOCIATION**

**LONDON**

**VOLUME I**

**REPORTS**

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At the request of the Salvage Association, London we have undertaken a damage survey of a quantity of equipment for the Paute extension hydro-electric project in Ecuador. For this purpose our surveyor attended at various offices and sites in Ecuador during the period 3rd to 8th December 1990 and we now report as follows.

## INTRODUCTION

Acting on instructions from the Salvage Association we made contact with Taverna International Spa., Milan, advising them of our instructions and requesting details of contacts in Ecuador. Taverna advised that we should make contact directly with La Nacional C.I.A. located at Guayaquil, Ecuador and operate through them whilst in Ecuador.

On 5th December 1990 we attended at the offices of La Nacional and were advised by Mr. L. Cagnato that a local firm of loss adjustors, S.E.A. (Servicios Espacialazados Adjudicados) had been appointed to undertake damage survey and assist with claim settlement. Arrangements were put in hand to visit the offices of Inecel and G.I.E. both located in Quito. It was also agreed that visits to Guayaquil Port, Inecel Stores at Guayaquil and Capulsipamba, the main project site, would be beneficial and suitable arrangements were put in hand.

Prior to departure for Ecuador we received some 65 sheets of individual claims which had been sent to Underwriters by Taverna. During the meeting with La Nacional a further quantity of claim reports were handed over bringing the total to 117, a copy of all claims received to date is included at Appendix I. A review of all claims was conducted in conjunction with S.E.A. and their surveyors and a summary of findings is included at the section dealing with damage survey.

Throughout the visit we made contact with the following principle personnel.

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| Mr L Cagnato | La Nacional Ins. Co | General Mgr. |
| Eng. Carlos Quevedo | S.E.A. Loss Adjusters | Manager |
| Eng. Augusto Battallas | Inecel Project Manager | Paute |
| Mr J R Castielo | G.I.E. Manager | Quito |
| Mr Carlos Rosiero | G.I.E. | Quito |

The visit programme was completed satisfactorily and is reported at the appropriate sections of this report. Prior to departure from Guayaquil, a final meeting was held with Mr L Cagnato and Engineer Quevodo. Throughout the visit, attention was paid to quality assurance aspects of the project and our findings in this respect are recorded at the conclusion to this report.

## TRANSIT HISTORY

The major portion of equipment was shipped from Italy direct to Guayaquil, a small quantity of goods were containerised but by far the largest portion was shipped as conventional cargo. On arrival at Guayaquil cargo was discharged from the ships derricks and transferred to designated customs clearance areas within the Port.

It is reported that high proportion of the deliberate damage occurred within the Port area, particularly during discharge and transfer to the customs clearance area. It was observed during our visit that the Port is well laid out, clean and tidy. Roads have a good tarmac finish, the hard standing in the customs clearance storage area is also well finished and suitable for heavy mobile crane equipment. Whilst in the Port area the team observed the Port took place of several mobile crane and forklift trucks for lift truck operations and this accounts for the high proportion of accidental damage which occurred in tort.

G.I.E. claimed that they had considerable difficulty in obtaining access to the Port and had no access to vessels arriving at Guayaquil. This did not seem to effect the loss adjustors S.E.A. who not only managed to obtain access to the vessels but took photographs of all the cargoes during discharge from the ships derricks indicating that some damage was caused prior to arrival at Guayaquil. Reference to the photographs provided by S.E.A. and attached to this report at Vols. II and III illustrate this point.

After customs clearance all cargo was taken by road to the nearby Inecel Storage Depot located some 4 km from the Port. Each consignment was inspected and some noted damage items were found during transit and repacking at the storage depot. In some cases packing items were checked and in other cases the $N^2$ transformers shipped under Nitrogen were checked and pressure tested together with any other essential bottles, manometer and regulators replaced together with any other equipment that may have been stolen.

From Guayaquil the cargo was taken by road to the Inecel Storage Depot at Capulsipamba which is located some 20 km from Cuenca and approximately 90 km from the construction site. On arrival, each item was inspected and checked against the packing list, items which were found missing were reported subject to a survey. In other instances items were found missing although the packing case was undamaged, in other cases it was found that further losses had been sustained during transit from one depot to another.

The interval between arrival at Guayaquil and delivery to Capulsipamba was quite lengthy, it was not unusual for several months to elapse between the ships arrival and discovery of loss. Some delay in submission of claims may also have occurred due to the storage of equipment at Capulsipamba prior to call off for site construction. Examination of the Paute site revealed that very little long term storage space was available.

DAMAGE SURVEY.

There are a number of examples of poor packing, some are related to bundles of galvanised steel angle where the bindings failed during discharge. The worst example concerns a quantity of 5 gallon paint drums mounted on pallies which were placed in a container with additional lashings or blockwork to prevent movement and consequential damage. A photograph taken by the surveyor when the container was opened is
included with other photographs in this report.

A number of claims are related to case contents which do not conform to the packing list provided with the case. Several boxes contain steel frames with identification numbers which differ from those given in the packing list, some of the quantities also differ from the agreed list. These matters should have been resolved by G.I.E. with their suppliers prior to making the claims. It is expected that the claims will eventually be withdrawn, in the meantime La Nacional will be involved in further expense in dealing with the matters.

On reviewing the results of damage survey reports of the claims, it became apparent that the adjustments to claims are minimalistic due to loss taken by the adjusters with the prior agreement of La Nacional. There is no record of G.I.E. having taken any action to reduce or prevent loss throughout the shipment period.

The history of claims development was discussed, it is clear that from the commencement of shipments, La Nacional experienced considerable difficulty in obtaining formal notification of claims from G.I.E. A series of telexes were sent dating from November 1989 advising G.I.E. of the importance of registering their claims in terms of the adjustment policy by La Nacional. In April 1990 a formal meeting was held at G.I.E. office in Quito when full details of requirements for notification were advised to G.I.E. and a procedure for Joint survey agreed. A copy of the minutes of the meeting is included at Appendix III together with copy telexes recording early requests for advance information on claims.

S.E.A. have prepared a number of reports detailing their findings on some of the earlier claims. Copies were examined in their offices, the reports are complete with damage survey results, photographs and separate Packing lists. Some claims involved advocate evidence. It was suggested that the reports have already been forwarded to Taverna at Milan, Italy. Preparation of remaining reports is in hand and these will be forwarded to La Nacional for onward transmission to Taverna within the next two months.